Ragnhild Laurent
Counsel

To: Viktor Kirchner
Re: Palisade Row Storage — drag-along notice for proposed transaction involving all six facilities
Source: Palisade Row Storage, LLC Operating Agreement (2017) (the “Agreement”)

Recommendation at a glance

DECISION	**DISSENT — deliver a timely Dissent Notice, rather than sign drag documents, on the present record.**

Florian Oyelaran, the Managing Member, has served you with a drag-along notice concerning a proposed transaction involving all six Company facilities. You hold 12% of Palisade Row Storage. The Agreement requires a response by the fourteenth (14th) day after receipt of the applicable notice. This advice uses only the 2017 Agreement; I have not been given the notice, transaction documents, proof of service, approval records, or facts establishing the deal’s legal form.

1. Why I recommend dissent now

Section 5.4 makes the execution duty conditional: “If a Sale of the Company has been approved under Section 2.2,” each Member must consent, vote, and execute documents reasonably necessary to complete that Sale, including an interest assignment. A qualifying approval requires Florian and at least 75% of Percentage Interests (Section 2.2). The notice should identify whether the deal is asserted to be a Sale of the Company and provide material documents then available (Section 4.2). We lack those facts, so I do not assume either compliance or approval.

Transaction form is decisive. “Company” is Palisade Row Storage, LLC, not the facilities (Section 1.3). “Sale of the Company” means a majority interest transfer or listed entity-level transaction (Section 1.4). A Major Transaction separately includes an all-or-substantially-all asset sale (Section 1.5), and Section 5.3 says an asset sale is carried out by the Company and does not become an interest transfer merely because it covers the business assets. The Agreement is silent about whether an asset sale followed by dissolution is a “Sale of the Company” for Section 5.4. That unresolved line favors preserving your dissent position, not accepting an irreversible interest-transfer obligation.

2. Competing constructions

The enforcing reading has force: the six facilities comprise one business; a coordinated sale of all, followed by winding up, has the practical end of a company sale. Section 2.2 authorizes an approved Major Transaction at the 75% threshold, and Article 5 aims to make an approved exit workable. A court could infer that a member should not defeat an approved exit simply because it uses assets rather than interests.

The limiting reading is stronger on the text. Section 5.4 repeatedly says “Sale of the Company”; Section 1.4 specifies entity-interest and entity-level events; Sections 1.5 and 5.3 separately identify asset dispositions. Section 3.2 confirms that implementation language alone does not surrender an interest. Those distinctions matter: an asset sale leaves proceeds with the Company until Article 6, while a company sale transfers membership interests. Treating every all-asset sale as a drag would diminish the separate Dissent Notice mechanism in Section 5.5. The clause is not unambiguous as to an asset sale followed by dissolution.

3. Risks and the opposite result

If a court adopts the enforcing reading, Section 5.4 binds you to execute reasonably necessary drag documents after a qualifying approved Sale; a timely Dissent Notice does not stop an approved Major Transaction (Section 5.5), and the Managing Member may use the limited attorney-in-fact remedy to complete a qualifying sale. The practical risk of dissent is that the transaction closes without your signature while you face uncertainty and cost over whether the drag applied.

If a court adopts the limiting reading, the drag does not bind you in an asset sale followed by dissolution. The Company may still complete an approved asset Major Transaction, but your Dissent Notice preserves the Section 5.4 issue and Article 6 distribution rights. It supplies neither a veto nor an appraisal formula, purchase price, or guaranteed payment. The practical risk of signing is accepting an interest-transfer framework before the records establish one, weakening your ability to keep the Agreement’s asset/company distinction. As a 12% minority member, the targeted Section 5.5 procedure is more protective. Signing is not equally advisable because it relinquishes that procedural position while the form is unresolved.

4. Action before the response date

Before the fourteenth (14th) day after receipt, deliver a written Dissent Notice under Section 5.5 by a permitted Section 4.1 method. Identify the notice, state that the all-facility transaction appears to be an asset transaction unless documents establish otherwise, and reserve your right to contest Section 5.4's application and receive any Article 6 distribution. Do not state approval of a membership-interest sale. Preserve the drag notice, delivery evidence, the 2017 Agreement, transaction-document versions, and communications.

Request written confirmation of (i) transaction form—interest transfer/entity-level transaction or asset sale; (ii) Section 2.2 written approval and percentage-interest calculation; (iii) whether the notice invokes Section 5.4 or 5.5; and (iv) whether dissolution and winding up follow closing. These are missing facts that could change the advice. A reservation is grounded in Sections 5.5 and 7.3; it does not contradict dissent or prevent an approved transaction.

5. Transition and post-closing position

This is a practice mid-change: the decision window precedes final form, closing, and any dissolution. Dissent is the immediate procedural choice, not a prediction that the Company cannot sell facilities. If it later dissolves, Section 6.1 requires the applicable decision to wind up; Section 6.2 directs the Managing Member to settle liabilities; and Section 6.3 distributes what is available after liabilities and winding-up expenses in Percentage Interests. Your 12% therefore governs allocation of what is available if Article 6 applies, not a dollar amount, date, valuation, or priority beyond those terms. If documents establish a qualifying Sale of the Company, reassessment is required before an inconsistent execution position.

6. Disclosure and scope

I drafted the 2017 Operating Agreement while advising the Company. That matters because I wrote language now requiring construction. I have identified both readings candidly and base this advice on the recorded text and structure, not unrecorded drafting intent. This is advice to you and may be shared with Rookwood Partners and Hollowpine Holdings only as appropriate; it is not advice to them or the Company. It interprets the supplied Agreement only. Transaction-document negotiation, execution mechanics, closing administration, tax, and valuation require the responsible advisers and information outside this record.

Decision

My clear recommendation is: DISSENT. Deliver the Section 5.5 Dissent Notice before the fourteenth (14th) day after receipt, preserve the records, and request the listed confirmations. This protects your 12% member position while the Agreement's unresolved line between a Sale of the Company and an asset sale followed by dissolution is tested; it does not promise payment or prevent a properly approved transaction from proceeding.

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Counsel to Viktor Kirchner